

Economics Test –2

Q1. The Central Office of the Reserve Bank of India was initially established in which present city in 1935?

- A. Mumbai
- B. Chennai
- C. Delhi
- D. Kolkata**

Solution: Kolkata. Reserve Bank of India was established on 1 April 1935 on the recommendations of Hilton Young Commission. Headquarters : Mumbai, Maharashtra. Nationalization: On 1 January 1949. Currency: Issues all currency notes except for one rupee. Initially, the Central Office of the RBI was established in Calcutta but was moved to Mumbai in 1937.

Q2. The relationship between which of the following is correct?

- A. Domestic income = NDP at market price + net indirect taxes
- B. NDP at market price = GDP at market price + depreciation
- C. GDP at market price = price + quantity of final goods and services

D. National income = NDP at factor cost + net factor income from abroad

Solution: National income is the total value of final goods and services produced in an economy over a specific time period, usually a year. NDP is a measure of a country's economic output, calculated by subtracting depreciation from gross domestic product (GDP). Factor cost measures national income based on the costs of factors of production (land, labor, capital, and entrepreneurship) rather than market prices.

Q3. Which of the following is NOT one of the eight core industries in India? I. Coal II. Crude Oil

- A. Only II
- B. Both I and II
- C. Only I
- D. Neither I nor II**

Solution: Neither I nor II. The eight core industries: Cement, Coal, Crude Oil, Electricity, Fertilizers, Natural Gas, Refinery Products and Steel. The Index of Eight Core Industries (ICI) is prepared every month and released by the Office of the Economic Adviser (OEA), Department for Promotion of Industry and Internal Trade (DPIIT), and Ministry of Commerce & Industry. It comprises 40.27 percent of the weight of items included in the Index of Industrial Production (IIP). The base year in the current series of ICI is 2011-12.

Q4. Which of the following is NOT a feature of a monopoly?

- A. One seller and many buyers
- B. Full control over the price by the seller
- C. One buyer and many sellers**
- D. No close substitutes

Solution: One buyer and many sellers. In a monopoly, the single entity controls the entire supply of the product or service, allowing it to set prices and control supply without competition. Monopsony is a market structure where there is only one buyer of a particular good or service, while many

sellers exist. This is the opposite of a monopoly, where there is only one seller but many buyers.

Q5. Which of the following statements is/are true with respect to MRTP Act? i) The Monopolies and Restrictive Trade Practices Act (MRTP Act) was repealed and replaced by the Competition Act, 2002. ii) The asset limit for MRTP companies was fixed at Rs. 25 crores by the first/original Monopolies and Restrictive Trade Practices Act (MRTP Act). iii) The Monopolies and Restrictive Trade Practices Act (MRTP Act) was first passed in 1969.

- A. Only iii
- B. Only i and iii**
- C. Only i and ii
- D. Only ii and iii

Solution: Only i and iii. The MRTP Act was indeed first passed in 1969 and was later repealed and replaced by the Competition Act, 2002. However, the asset limit for MRTP companies was fixed at Rs. 100 crores.

Q6. Which of the following is NOT a component of revenue receipt ?

- A. Amount borrowed from World Bank**
- B. GST
- C. Fees paid for the registration of property
- D. Grant received by UNESCO

Solution: Amount borrowed from World Bank. Revenue receipts are current income receipts from all sources such as taxes, profits of public enterprises, grants, etc. Revenue receipts neither create any liability nor cause any reduction in the assets of the government. Capital receipts, on the other hand, are the receipts of the government which either create liability or cause any reduction in the assets of the government. e.g. borrowings, recovery of loan and disinvestment etc.

Q7. Which of the following are recognised as final goods while estimating the gross domestic product in India? a. Wheat purchased for making roti in a house b. Wheat purchased for making roti in a hotel c. Tea bags used to make tea in a house d. Tea bags used to make tea in a university hostel canteen

- A. Only a and b
- B. Only b and c
- C. Only b and d
- D. Only a and c**

Solution: Only a and c. Gross Domestic Product (GDP) refers to the total monetary or market value of all finished goods and services produced within a country's borders over a specific time period. Wheat purchased for making roti in a house and Tea bags used to make tea in a house is recognised as a final good because it is directly consumed by the household. Wheat purchased for making roti in a hotel and tea bags used to make tea in a university hostel canteen Not a final good because it is used as an input for the hotel's production process (intermediate good).

Q8. According to the standard definition of Census of India,

the marginal worker is a person who works for less than _____ days in a year.

- A. 180
- B. 173
- C. 170
- D. 183**

Solution: 183 . The workers are considered marginal because they work for a shorter duration compared to Main workers, who work for at least 183 days (or six months) in a year.

Q9. Which among the following data was used to compute the estimates in the national Multidimensional Poverty Index (MPI) Baseline Report?

- A. Economic Survey data
- B. National Census data
- C. Annual Employment-Unemployment Survey data
- D. National Family Health Survey (NFHS-4)**

Solution: National Family Health Survey (NFHS-4). National Multidimensional Poverty Index (MPI) is a tool that measures poverty in India in multiple dimensions, beyond income. The MPI is developed by NITI Aayog in collaboration with the United Nations Development Programme (UNDP) and the Oxford Poverty and Human Development Initiative (OPHI). The latest 'National Multidimensional Poverty : A Progress Review - 2023' is based on the data of NFHS 4 and 5.

Q10. What is the empirically fitted relationship between the rate of change of money, wage, and rate of unemployment known as ?

- A. Friedman's model
- B. Keynesian model
- C. Baumol hypothesis
- D. Phillips curve**

Solution: Phillips curve states that inflation and unemployment have an inverse relationship; higher inflation is associated with lower unemployment and vice versa. This concept was first proposed by Alban William Phillips. Friedman's model: Milton Friedman's monetary policy model, focusing on monetary supply and demand. Keynesian model: John Maynard Keynes' macroeconomic model, emphasizing government intervention and aggregate demand. Baumol hypothesis: William Baumol's theory on the relationship between inflation and economic growth.

Q11. The portion of agricultural produce which is sold in the market by the farmers is called _____.

- A. marketed surplus**
- B. produced surplus
- C. marketed deficit
- D. produced deficit

Solution: marketed surplus. With respect to Agriculture : Produced surplus refers to the agricultural produce exceeding the farmer's own consumption and non-market needs, including both the marketed surplus and retained amounts for various purposes. Marketed deficit - When the amount of agricultural produce sold by farmers in the market is less than the total market demand. Produced deficit - When the total agricultural production is less than the farmer's own consumption and other non-market requirements.

Q12. The Government of India introduced a new economic policy in _____.

- A. 1947
- B. 1991**
- C. 1980
- D. 1995

Solution: 1991. New Economic Policy of India was launched in the year 1991 under the leadership of Prime minister P. V. Narasimha Rao. The government reduced the import duties, opened a reserved sector for the private players, devalued the Indian currency to increase exports. This is also known as the Liberalisation, Privatisation and Globalisation (LPG) Model of growth.

Q13. Read the following about the impact of the Green Revolution in India. A. India became self-sufficient in food-grains and had sufficient stock in the central pool, even, at times, India was in a position to export food-grains. B. The per capita net availability of food-grains has also increased. Identify the CORRECT statement/statements

- A. Only B
- B. Only A
- C. Both A and B**
- D. Neither A nor B

Solution: Both A and B. The Green Revolution was an initiative that began in the 1960s, led by Norman Borlaug, who is known as the 'Father of the Green Revolution' worldwide. His work in developing High Yielding Varieties (HYVs) of wheat earned him the Nobel Peace Prize in 1970. In India, the Green Revolution was primarily driven by M.S. Swaminathan.

Q14. With respect to money and banking, what does SLR stand for ?

- A. Statutory Legal Ratio
- B. Statutory Liquidity Ratio**
- C. State Liquidity Ratio
- D. State Legal Ratio

Solution: Statutory Liquidity Ratio. It is the minimum percentage of deposits that a commercial bank must maintain in the form of liquid cash, gold, or other securities. Related Terms in Money and Banking: CRR (Cash Reserve Ratio), Repo Rate, Reverse Repo Rate, Monetary Policy, Fiscal Policy, Liquidity, and Bank Rate.

Q15. Transportation and storage falls under which sector of economic activity?

- A. Primary sector
- B. Service sector
- C. Secondary sector
- D. Tertiary Sector**

Solution: Tertiary Sector: It includes activities like transportation, storage, communication, banking, and trade. This sector does not produce goods itself but supports and facilitates the development of both the primary (agriculture, mining) and secondary (manufacturing) sectors.

Q16. Which type of expenditure refers to expenses that do not lead to the creation of physical or financial assets?

- A. Development Expenditure
- B. Capital Expenditure

C. Fiscal Expenditure

D. Revenue Expenditure

Solution: Revenue Expenditure. For example, this includes salaries, interest payments, pension, and administrative expenses. Capital expenditure – It involves government spending to create assets or reduce liabilities. It includes long-term investments in assets like roads and hospitals, as well as loans to states or repayment of borrowings.

Q17. Match the concepts in column A with their respective descriptions in column B. Column A Column B
a. Gross national product 1. Annual income received by the individual's production in a given period
b. Net national product 2. After the tax of personal income
c. Personal income 3. Money value of the national output
d. Disposable personal income 4. Net production of goods services during the year

- A. a-2, b-1, c-3, d-4
- B. a-3, b-1, c-2, d-4
- C. a-3, b-4, c-1, d-2**
- D. a-4, b-3, c-2, d-1

Solution: a-3, b-4, c-1, d-2. Gross National Product (GNP) = Gross Domestic Product (GDP) + Net income from abroad. Net national product (NNP) = GNP - Depreciation. Personal Income = National Income - Corporate Taxes - Retained Earnings + Transfer Payments. Disposable personal income (DPI) = Personal Income - Personal Taxes.

Q18. Price control and rationing are direct control measures to check _____.

- A. deflation
- B. refation
- C. inflation**
- D. disinflation

Solution: Inflation: It is a decrease in the purchasing power of money, reflected in a general increase in the prices of goods and services in an economy. Lack of financial discipline by the government can lead to excess expenditure and inflation.

Q19. Which of the following exchange rates is determined by the market forces of demand and supply?

- A. Soft pegged exchange rate
- B. Floating exchange rate**
- C. Hard pegged exchange rate
- D. Fixed exchange rate

Solution: Floating exchange rate: The exchange rate is determined by the interactions of buyers and sellers in the foreign exchange market. Soft Pegged Exchange Rate: The rate is fixed but can be adjusted by the government. Hard Pegged Exchange Rate: The rate is fixed and cannot be changed. Fixed Exchange Rate: The rate is set by the government or central bank and maintained at a fixed level against a major currency or a basket of currencies.

Q20. In which of the following years, extreme poverty in India started decreasing due to rapid economic growth ?

- A. 1994
- B. 1993
- C. 1991**
- D. 1992

Solution: 1991 . India launched a New Economic Policy based on the LPG (Liberalisation, Privatisation and Globalisation) model to the economic crisis in 1991. The prime architect of 1991 liberalisation was Manmohan Singh. There is a substantial decline in poverty ratios in India from about 45 per cent in 1993-94 to 37.2 per cent in 2004-05.

Q21. Read the following about the Revenue expenditure. A. Revenue Expenditure is expenditure incurred for purposes other than the creation of physical or financial assets of the central government. B. It relates to those expenses incurred for the normal functioning of the government departments and various services. interest payments on debt incurred by the government, and grants given to state governments and other parties (even though some of the grants may be meant for creation of assets). Identify the INCORRECT statement/statements.

- A. Only A
- B. Neither A nor B**
- C. Only B
- D. Both A and B

Solution: Neither A nor B. Revenue expenditure is essential for the ongoing operations and day-to-day functioning of an organization or government, focusing on immediate needs rather than long-term investments. The main items of revenue expenditure are interest payments, defense services, subsidies, salaries, and pensions.

Q22. Match the following items. List I List II
i. Global System of Trade Preferences a. 2021
ii. India-Gulf Cooperation Council Free Trade b. 1988
Agreement iii. The India-Republic of Korea Comprehensive c. 2004
Economic Partnership Agreement iv. 7
th Trade Policy Review d. 2010

- A. i (d), ii (a), iii (b), iv (c)
- B. i (b), ii (a), iii (d), iv (c)
- C. i (c), ii (d), iii (a), iv (b)
- D. i (b), ii (c), iii (d), iv (a)**

Solution: i (b), ii (c), iii (d), iv (a). Global System of Trade Preferences (1988) – Promotes trade among developing countries. India-Gulf Cooperation Council Free Trade Agreement (2004) – Aims to liberalize trade relations and explore a Free Trade Agreement. India-Republic of Korea Comprehensive Economic Partnership Agreement (2010) – Enhances economic cooperation by reducing tariffs on goods. 7th Trade Policy Review (2021) – A WTO mechanism for regularly reviewing member countries' trade policies.

Q23. In which form of exchange are goods used as a medium of exchange?

- A. Online exchange
- B. Credit exchange
- C. Currency exchange
- D. Barter exchange**

Solution: Barter exchange. The barter system is a method of exchange where goods are traded directly for other goods without using money. However, it faced several challenges, such as the lack of double coincidence of wants, the absence of a common measure of value, no standard for deferred or future payments, and issues with storing wealth, which could lead to waste.

Q24. Which measure captures the difference between the government's total expenditure and total receipts, excluding borrowing?

- A. Primary Deficit
- B. Fiscal Deficit**
- C. Gross Fiscal Deficit
- D. Revenue Deficit

Solution: Fiscal Deficit shows the borrowing requirements of the govt. during the budget year. Primary deficit is defined as fiscal deficit minus interest payments on previous borrowings. Revenue Deficit refers to the excess of total revenue expenditure of the government over its total revenue receipts.

Q25. In 1992, which organisation launched the Self Help Group – Bank Linkage Programme?

- A. SEBI
- B. NABARD**
- C. SBI
- D. RBI

Solution: NABARD . It is a statutory body established in 1982 under the National Bank for Agriculture and Rural Development Act, 1981. The Self Help Group – Bank Linkage Programme Project (1992–93) has blossomed into the world's largest microfinance project. This programme, aimed to provide financial services to the unreached and underserved poor households. SEBI – Established on April 12, 1988. SBI – Founded : 1 July 1955. The Reserve Bank of India was established on April 1, 1935.

Q26. Which of the following is an example of public sector industry in India?

- A. Bharat Heavy Electricals Limited**
- B. Bajaj Auto
- C. Dabur
- D. Tata Iron Steel Company

Solution: Bharat Heavy Electricals Limited. The public sector is the part of the economy that is owned and managed by the government, including government-controlled enterprises. BHEL is a government-owned company that specializes in manufacturing electrical equipment. It was established in 1964. Other PSUs: Steel Authority of India Ltd (SAIL), ONGC, and OIL etc.

Q27. In India the financial/fiscal year is taken from_____ .

- A. 1st October to 30th September
- B. 1st April to 31st March**
- C. 1st Jan to 31st December
- D. 1st July to 30th June

Solution: 1st April to 31st March. Financial Year is the year in which the income is earned. The assessment year is the year in which the income is assessed to tax and all taxes are paid & tax returns filed. The next year in which the income is assessed to tax is called the Assessment Year.

Q28. Which of the following refers to the purchase and sale of government securities?

- A. Bank rate
- B. Open market operations**
- C. Reserve ratio
- D. High powered money

Solution: Open market operations . The purchase and sale is entrusted to the Central bank on behalf of the Government. When the Reserve Bank of India (RBI) buys a government bond in the open market, it generates new central bank money to pay for it. The RBI uses this process, known as an Open Market Operation (OMO), to regulate the rupee's liquidity in the market and control the money supply. There are two types of open market operations: outright and repo.

Q29. Which of the following is an example of private sector industry in India?

- A. Steel Authority of India Limited
- B. Tata Iron and Steel Company**
- C. Oil India Limited
- D. Bharat Heavy Electricals Limited

Solution: Tata Iron and Steel Company (TISCO). The private sector is the part of the economy not run by the government. It comprises the businesses and enterprises that are controlled by private individuals and groups for the purpose of making a profit. Jamsetji Tata founded TISCO on August 26, 1907 in Jamshedpur, Jharkhand. Headquarters – Mumbai (Maharashtra). In 2005, TISCO changed its name to Tata Steel Ltd.

Q30. What is the term for the policy of replacing or substituting imports with domestic production?

- A. Import liberalization
- B. Import substitution**
- C. International trade
- D. Export-led growth

Solution: Import substitution: A policy of the state for development of the economy in which import of goods is generally substituted by domestic production (through import controls, tariffs and other restrictions) with a view to encourage domestic industry on grounds of self-sufficiency and domestic employment. In the first seven plans, trade was characterised by an 'inward looking trade strategy'.

Q31. Which of the following is the principal strategy adopted by National Literacy Mission for the eradication of illiteracy?

- A. Total Literacy Campaign**
- B. Sarva Shiksha Abhiyan
- C. Education Guarantee Scheme
- D. Alternative and Innovative Education

Solution: Total Literacy Campaign (TLC). The National Literacy Mission (NLM) was initiated on May 5, 1988 by the then Prime Minister Rajiv Gandhi with an aim to impart functional literacy to all non-literate persons in the 15–35 age group. TLC was its principal strategy, emphasizing basic literacy for illiterate adults.

Q32. Who is regarded as the founding father of modern economics?

- A. Adam Smith**
- B. Karl Marx
- C. Alfred Marshall
- D. Daniel Kahneman

Solution: Adam Smith , a Scottish Enlightenment theorist, created the notion of the "invisible hand". He promoted the principle of non-interference, which is also known as laissez-

faire economics. His works include – “The Theory of Moral Sentiments”, and “The Wealth of Nations”.

Q33. Which of the following statements is true about Micro Finance institutions?

- A. Type of banking service provided to employed
- B. Service provided to High income people only
- C. Majority of microfinancing operations occur in developing countries**
- D. Can provide jumbo loan

Solution: Microfinance institutions (MFIs) have urged the Centre to prioritise vaccinations for their employees and self-help group workers. MFIs are financial companies offering small loans to individuals without access to banking services. The definition of “small loans” varies between countries. In India, all loans that are below Rs.1 lakh can be considered as microloans.

Q34. Which one of the following statements regarding classification of government expenditure is correct ? I. Revenue expenditure is expenditure made for purposes other than the creation of physical or financial assets of the Central Government. II. Capital expenditure results in the creation of physical or financial assets or the reduction of financial liabilities.

- A. Both | and II**
- B. neither | nor II
- C. only II
- D. only |

Solution: Both | and II. Capital expenditure includes expenditure on the acquisition of land, building, machinery, equipment, investment in shares, and loans and advances by the central government to state and union territory governments, PSUs and other parties.

Q35. Around which of the following years did the Green Revolution start in India ?

- A. 1955
- B. 1978
- C. 1948
- D. 1966**

Solution: 1966. The Green Revolution was initiated by Norman Borlaug in the 1960s, earning him the title of the 'Father of the Green Revolution in the world. In India, M.S. Swaminathan is recognized as the Father of the Green Revolution. The Green Revolution in India was introduced during the third five-year plan, which was implemented from 1961 to 1966. The revolution increased food grain production in Punjab, Haryana, and Uttar Pradesh.

Q36. What are the two main forms of protection used to shield domestic industries from foreign competition in an inward-looking trade strategy

- A. Tariffs and subsidies
- B. Quotas and subsidies
- C. Tariffs and price controls
- D. Tariffs and quotas**

Solution: Tariffs and quotas. Tariff – It is a tax on imported

goods. Quota – It refers to fixing the maximum limit on the imports of a commodity by a domestic producer. Inward looking trade strategy is a government policy that aims to reduce a country's reliance on imports and build up its domestic industries. An outward-looking trade strategy is an economic development strategy that focuses on promoting exports and international targets.

Q37. What happens in case of market equilibrium: (A) Market demand = market supply (B) There is no excess supply in the market

- A. Neither (A) nor (B)
- B. Only (B)
- C. Only (A)
- D. Both (a) and (b)**

Solution: Both (A) and (B). Market equilibrium is a market state where the supply in the market is equal to the demand in the market. The equilibrium price is the price of a good or service when the supply of it is equal to the demand for it in the market. supply and demand, in economics, relationship between the quantity of a commodity that producers wish to sell at various prices and the quantity that consumers wish to buy.

Q38. Making sugar from sugar cane falls under which sector of economic activity ?

- A. Secondary sector**
- B. Quaternary sector
- C. Tertiary Sector
- D. Primary sector

Solution: Secondary sector covers activities in which natural products are changed into other forms through ways of manufacturing that we associate with industrial activity. It is the next step after the primary sector. For example, using cotton fibre from the plant, we spin yarn and weave cloth. Using sugarcane as a raw material, we make sugar or gur. We convert earth into bricks and use bricks to make houses and buildings.

Q39. Which of the following government initiatives focuses on skill development to reduce open unemployment among youth in India?

- A. PM KUSUM
- B. Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA)
- C. Swachh Bharat Abhiyan
- D. Pradhan Mantri Kaushal Vikas Yojana (PMKVY)**

Solution: Pradhan Mantri Kaushal Vikas Yojana (PMKVY) was launched in 2015 with the objective to deliver skills to the youth of the country through Short Term Training (STT) and Recognition of Prior Learning (RPL). Other Schemes: Pradhan Mantri Kisan Urja Suraksha evam Utthaan Mahabhiyan (PM-KUSUM) launched in 2019 to provide energy and water security to farmers. Swachh Bharat Abhiyan launched in 2014 to clean up India's cities, towns, and rural areas.

Q40. Which of the following is the time period of the First Five Year Plan?

- A. 1956-1961
- B. 1966-1969

C. 1951-1956

D. 1961-1966

Solution: 1951-1956. First Five Year Plan – Focussed on agriculture, price stability, power and transport. It was based on the Harrod Domar Model. Five Year Plans – Second (1956 – 61), Third (1961-66), Plan Holidays (1966 –69), Fourth (1969-74), Rolling Plan (1978-80), Sixth (1980-85), Seventh (1985-90), Annual Plans (1990-92), Eighth (1992-97), Ninth (1997-2002), Tenth (2002-07), Eleventh (2007-2012), Twelfth (2012-17).

Q41. Which of the following is NOT the principle laid down by the OECD about budgetary governance?

- A. It does not allow the citizens to participate in budgetary debates.
- B. The execution of the budget must be proactively planned, managed, and monitored.

C. Design the capital budgeting framework to meet national development needs.

- D. Alignment of budgets with medium-term strategic priorities of the government.

Solution: The Organisation for Economic Co-operation and Development (OECD) principles of budgetary governance emphasize transparency, inclusiveness, and accountability in the budgeting process, which includes allowing citizens to participate in budgetary debates.

Q42. Match the items in List I with those in List II.

A. i – a, ii – d, iii – c, iv – b

B. i – c, ii – b, iii – d, iv – a

C. i – b, ii – c, iii – d, iv – a

D. i – c, ii – d, iii – a, iv – b

Solution: i – a, ii – d, iii – c, iv – b. Garibi Hatao: This slogan was part of Indira Gandhi's agenda during the Fifth Five-Year Plan (1974-1979). LPG policies: The Liberalization, Privatization, and Globalization reforms were introduced in 1991, during the Eighth Five-Year Plan (1992-1997). Rolling Plan: The Rolling Plan was introduced during the Janata Party government in the period 1978-80. Growth with justice and equity: This was a theme of the Ninth Five-Year Plan (1997-2002).

Q43. What is net investment?

- A. Sum of all the investments in a country
- B. Gross investment + depreciation
- C. Gross capital investment – indirect taxes

D. Gross investment – depreciation

Solution: Gross investment – depreciation. Net Investment: It refers to the actual addition to the capital stock of a country or business, accounting for the depreciation of existing assets. Gross Investment: This is the total expenditure on new assets, including new buildings, machinery, equipment, and inventory. Depreciation: This refers to the reduction in value of existing assets due to wear and tear, obsolescence, and damage.

Q44. Implementation of family planning Programmes were amongst major targets of which of the following five year plan of India?

- A. Sixth five year plan

B. Fourth five year plan

- C. Fifth five year plan

D. Seventh five year plan

Solution: Fourth five year plan (1969 – 74). It targets Growth 5.7% and Actual Growth 3.3% . It was based on the Gadgil Formula. The government nationalised 14 major Indian Banks. Other five year plan: Fifth (1974-79) – Aimed at 'removal of poverty'(Garibi Hatao) and 'attainment of self reliance'. Sixth (1980 – 85) – Focussed on Increase in national income, modernization of technology. Seventh (1985 – 90) – Focus on 'food, work & productivity'.

Q45. When a person seems to be working, but their work is not contributing to the output, it is known as _____.

- A. Cyclical unemployment
- B. Disguised unemployment**
- C. Frictional unemployment
- D. Seasonal unemployment

Solution: Disguised unemployment. Cyclical unemployment is the component of overall unemployment that results directly from cycles of economic upturn and downturn. Frictional unemployment occurs when individuals voluntarily leave their jobs to seek new ones, often for better pay, benefits, or job satisfaction. Seasonal unemployment occurs when there is a decrease in demand for labor based on the time of year.

Q46. Which regulatory body in India oversees and supervises microfinance institutions (MFIs) to ensure their compliance with regulations?

- A. Securities and Exchange Board of India (SEBI)
- B. Insurance Regulatory and Development Authority (IRDA)
- C. Reserve Bank of India (RBI)**
- D. Competition Commission of India (CCI)

Solution: Reserve Bank of India (RBI). MFI is an organization that offers financial services (such as – microloans, microsavings and microinsurance) to low income populations. Bangladeshi entrepreneur Muhammad Yunus (Nobel Prize in 2006) is considered as the Father of Microfinance. RBI was established on 1 April 1935 in Kolkata and moved to Mumbai in 1937.

Q47. ATM booths come under which sector of the economic activity ?

- A. Primary sector
- B. Quaternary sector
- C. Tertiary Sector**
- D. Secondary sector

Solution: Tertiary Sector : This segment of the economy provides services to consumers and businesses rather than producing tangible goods. Examples include transport, storage, communication, banking, and trade. Since these activities generate services rather than goods, the tertiary sector is also known as the service sector.

Q48. The first five-year plan of India was based on which model ?

- A. Capitalist Model
- B. Gadgil formula
- C. Harrod-Domar Model**
- D. Mahalanobis Plan

Solution: Harrod-Domar Model. First Five-Year Plan (1951-56):

It mainly addressed the agrarian sector, including investment in dams and irrigation. Five Indian Institutes of Technology were established. Second Five Year Plan (1956–61): It was drafted and planned under the leadership of P.C Mahalanobis. Fourth Five-Year Plan: (1969–74): Based on Gadgil Formula.

Q49. Which of the following is NOT the socio-economic objective of Industrial Policy Statement 1980?

- A. Higher employment generation
- B. Consumer protection against high prices and bad quality
- C. Promotion of export-oriented industries

D. Allowing the maximum foreign direct investment

Solution: Industrial Policy Resolution of 1956 : It aimed to accelerate economic growth and promote industrialization for a socialist society, with comprehensive revisions made after the Constitution's adoption. To address new challenges, it was further modified through statements in 1973, 1977, and 1980. Industrial Policy Statement of 1980 : It aimed for higher employment generation, consumer protection, promotion of export-oriented industries, encouragement of small-scale and cottage industries, regional balance and decentralization, and self-reliance through import substitution.

Q50. At the time of independence, about _____ percent of the country's population was dependent on agriculture.

- A. 75**
- B. 40
- C. 20
- D. 90

Solution: 75 . On the eve of India's independence, the country's economy was agro-based. The agriculture sector was characterized by outdated technology and methods, such as a lack of machines and fertilizers. The Green Revolution of the 1960s helped India make strides in food production and agriculture. The industrial sector employed 10.2% of the working population, while the service sector employed 17.2% at the time of independence.

Q51. Identify the sequence of implementation of the following taxes. I.Land revenue II.Sales tax III.MODVAT IV.Service tax

- A. III, II, IV, I
- B. II, IV, I, III
- C. IV, II, I, III
- D. I, II, III, IV**

Solution: I, II, III, IV. India's tax system includes direct and indirect taxes. In 2017, the Goods and Services Tax (GST) was introduced as part of indirect taxes. Direct taxes are imposed on individuals and corporations, while indirect taxes are collected through the sale of goods and services. Key tax introductions in India include Income Tax, Gift Tax, Service Tax, Banking Transaction Tax, and GST.

Q52. Revenue account includes items related to the

- A. previous financial year
- B. next financial year
- C. all of the given options**
- D. current financial year

Solution: all of the given options. The amount spent on dismantling and reinstalling plant and machinery to a new site is considered deferred revenue expenditure. It is non recurring expenditure and is spread over a number of years over its useful life.

Q53. Which of the following options is INCORRECT?

- A. The Planning Commission of India was set up in 1950.
- B. India borrowed the idea of five-year plans from the former Soviet Union.
- C. The chairmanship of the Planning Commission of India was given to the Prime Minister.

D. Distinguished economists from India and abroad were invited to advise on India's economic development during the first five-year plan period.

Solution: India's Five-Year Plans (FYPs) were centralized national economic programs initiated after independence, with the first plan starting in 1951. Influenced by Prime Minister Nehru's socialist vision, the Planning Commission was established in March 1950 to oversee these plans. The goals of the FYPs included raising living standards, using resources efficiently, increasing production, and creating employment opportunities.

Q54. Which of the following is a public sector owned and operated entity?

- A. BHEL**
- B. Tata Steel Ltd
- C. Bajaj Auto Ltd
- D. Oil India Ltd.

Solution: BHEL. Bharat Heavy Electricals Limited (BHEL), founded and owned by the Government of India, is a manufacturing and engineering company based in New Delhi. Established in 1964, it is the largest and oldest power generation equipment manufacturer in India. Public sector entities are owned and operated by the Government of India, meaning they are under government ownership and control.

Q55. What was the actual growth rate of the first five-year plan?

- A. 4.2%
- B. 2.6%
- C. 3.6%**
- D. 2.1%

Solution: 3.6%. The First Five-Year Plan (1951–56) surpassed its targeted growth rate of 2.1%, achieving notable success, particularly in the agricultural sector. Based on the Harrod-Domar Model, the plan focused on key areas such as agriculture, price stability, power generation, and transportation, providing a solid foundation for India's economic development post-independence.

Q56. Which of the following is NOT a service of micro finance institution?

- A. Micro saving
- B. Micro deposit**
- C. Micro loan
- D. Micro insurance

Solution: Micro deposit. Microfinance institutions typically

provide services such as: Micro loans (small loans for income-generating activities), Micro savings (small savings accounts), Micro insurance (insurance products tailored to low-income individuals), etc.

Q57. What is subtracted from GDP to arrive at NDP?

- A. Subsidies
- B. Depreciation**
- C. Net indirect taxes
- D. Net factor income from abroad

Solution: Depreciation. Net Domestic Product at factor cost (NDP at FC) is the income earned by the factors in the form of wages, profits, rent, interest etc. NDP (Net Domestic Product) at FC (Factor Cost) = GDP (Gross Domestic product) at FC minus Depreciation. Gross Domestic Product - Final monetary value of the goods and services produced within the country during a specific period of time. It is released by the National Statistical Office (NSO).

Q58. Which of the following statements is correct regarding Capital Expenditure? I. Capital expenditure results in creation of physical or financial assets or reduction in financial liabilities. II. Non-plan capital expenditure covers various general, social and economic services provided by the government.

- A. Only I
- B. Only II
- C. Neither I nor II
- D. Both I and II**

Solution: Both I and II. Capital expenditure is the expenditure by the government for the development of fixed assets. It is used to create assets or to reduce liabilities. Non-plan capital expenditure is the government's revenue expenditure that's not included in plan expenditure.

Q59. Which of the following is an example of a non-tax revenue source for the government?

- A. Fees and fines**
- B. Personal income tax
- C. Corporate income tax
- D. Value-added tax

Solution: Fees and fines. Non-tax revenue refers to income generated by the government through sources other than taxes. Examples of non-tax revenue include : Fees - License fees, registration fees, tuition fees, etc. Fines - Penalties imposed for violating laws or regulations. Interest receipts - Interest earned on government investments or loans. Dividends - Earnings from government-owned companies. Grants - Receipts from international organizations or foreign governments.

Q60. Which of the following five year plan of India aim was to make India a 'self-reliant' and 'self-generating' economy ?

- A. Second five year Plan
- B. Third five year Plan**
- C. First five year Plan
- D. Fourth five year Plan

Solution: Third five year Plan (1961-66) - Aimed to boost agriculture, particularly wheat production, with a target

growth of 5.6%. However, it achieved only 2.8% growth, falling short due to several unforeseen challenges. These included the Chinese aggression in 1962, the Indo-Pak war in 1965, and a severe drought in 1965-66. As a result, the plan's focus shifted from development to a mix of defence and development.

Q61. The growth rate target for the Twelfth Five-Year Plan was

- .
- A. 6%
 - B. 7%
 - C. 5%
 - D. 8%**

Solution: 8%. Twelfth Five Year Plan (2012-2017): Theme - Faster, More Inclusive and Sustainable Growth. The Five Year Plans were formulated, implemented and regulated by the Planning Commission (replaced by NITI AAYOG in 2015). Target Growth rate of Five Year Plans : 11th - 9%, 10th - 8%, 9th - 6.5 %, 8th - 5.6%.

Q62. During the eighth Five year plan, India became a member of the World Trade Organization on 1 January

- .
- A. 1948
 - B. 1978
 - C. 1998
 - D. 1995**

Solution: 1995 . The basic objective of the 8th Five-Year Plan (1992-1997) was human development in various aspects. Liberalisation, Privatisation, and Globalisation (LPG) were introduced in India to grapple with the problem of the economy under Prime Minister P.V. Narasimha Rao. The World Trade Organization is an intergovernmental organization headquartered in Geneva, Switzerland that regulates and facilitates international trade.

Q63. Which of the following is an example of a private sector industry?

- A. Life Insurance Corporation
- B. Bharat Heavy Electricals Limited
- C. Steel Authority of India Limited
- D. Tata Iron and Steel Company**

Solution: Tata Iron and Steel Company (TISCO), now known as Tata Steel, was founded by Jamsetji Nusserwanji Tata, who is considered the visionary behind the idea. However, it was Sir Dorabji Tata, Jamsetji's son, who actually established and incorporated the company on 26th August 1907. The headquarters of Tata Steel is in Mumbai, Maharashtra.

Q64. In India, who introduced the idea of the poverty line for the first time?

- A. Dadabhai Naoroji**
- B. Dr. B.R. Ambedkar
- C. Mahatma Gandhi
- D. Jawaharlal Nehru

Solution: Dadabhai Naoroji through his book, "Poverty and Unbritish Rule in India" made the earliest estimation of the poverty line (₹16 to ₹35 per capita per year). The poverty line proposed by him was based on the cost of a subsistence or

minimum basic diet (rice or flour, dal, mutton, vegetables, ghee, vegetable oil, and salt).

Q65. In which year was the microfinance movement formally launched in India on a pilot basis?

A. 1992

B. 2010

C. 2000

D. 1980

Solution: 1992. The microfinance movement formally started with the launch of a pilot program called the Self-Help Group – Bank Linkage Programme (SHG-BLP) by NABARD in 1991-92. The program was designed to provide financial services to poor households by linking Self-Help Groups (SHGs) to formal financial institutions.

Q66. Which of the following options is the most appropriate cause for unemployment in India?

A. Over population

B. Environment conditions

C. High educational systems

D. Lack of labour force

Solution: Over population leads to a surplus of labor in the job market, often outpacing the availability of jobs, which contributes significantly to unemployment. In India, the estimated Unemployment Rate on usual status for persons of age 15 years and above was 4.2%, 4.1% and 3.2% during 2020-21, 2021-22 and 2022-23, respectively as per the Annual PLFS Reports.

Q67. During 2015, in _____ sector, Government of India had allowed about 49% of FDI.

A. defence

B. education

C. manufacture of medical devices

D. food products

Solution: defense. FDI Policy Reforms in sectors listed under Make in India since May 2014-15 : India has liberalized FDI policies in various sectors including food retail, rail infrastructure, construction, and manufacturing, allowing up to 100% foreign investment to boost economic growth and job creation.

Q68. If GNP is 16% higher than the last year and the rate of inflation is 9%, production in the economy has grown by :

A. 4%

B. 6%

C. 5%

D. 7%

Solution: 7%. To determine the real growth in production, we need to adjust the increase in Gross National Product (GNP) for inflation. The real growth rate can be approximated by subtracting the inflation rate from the nominal growth rate. Real Growth Rate = Nominal Growth Rate – Inflation Rate (16% – 9% = 7%).

Q69. Under the Industrial Policy Resolution 1956, industries in India have been classified into how many categories ?

A. Two

B. Three

C. Four

D. Five

Solution: Three. The Industrial Policy Resolution (IPR) of 1956 classified industries into 3 categories: Schedule A, consisting of 17 industries, was the exclusive responsibility of the State. Schedule B, which included 12 industries, was open to both the private and public sectors, though these industries were progressively State-owned. Schedule C covered all other industries not included in the first two Schedules, which were left open to the private sector.

Q70. Which of the following is the last five year plan of India?

A. Eleventh

B. Ninth

C. Twelfth

D. Tenth

Solution: Twelfth Five Year Plan (2012-17) . It focused on achieving "Faster, More Inclusive, and Sustainable Growth." Ninth Plan (1997-2002) – Target Growth: 6.5% and Actual Growth: 5.4%. Tenth Plan (2002 – 2007) – Target Growth: 8% and Actual Growth: 7.6 %. Eleventh Plan (2007 – 2012) – Target Growth: 9% and Actual Growth: 8%.

Q71. Which of the following statements is correct about the composition of the agriculture sector and employment in GDP post- independence?

A. The proportion of employment has declined significantly but not the share of the agriculture sector in GDP.

B. The proportion of both the agriculture sector and employment in GDP has increased significantly.

C. The proportion of both the agriculture sector and employment in GDP has declined significantly.

D. The proportion of GDP contributed by the agricultural sector declined significantly but not the employment depending on the agriculture sector.

Solution: As economies develop, the importance of agriculture decreases compared to sectors like manufacturing and services. GDP growth usually aligns with industrialization and urbanization, reducing agriculture's share in GDP. In India, agriculture's contribution dropped from 47.6% in 1960-61 to 14.4% in 2010-11, due to structural changes and increased employment in other sectors. But still according to the Periodic Labour Force Survey (PLFS) about 45.76% of the total workforce is engaged in agriculture and allied sector during 2022-23.

Q72. Which of the following banking institutions played an instrumental role in financial inclusion through microfinance loans and their expansion in India?

A. State Bank of India

B. Reserve Bank of India

C. Central Bank of India

D. National Bank for Agriculture and Rural Development

Solution: National Bank for Agriculture and Rural Development (NABARD). It was established on 12 July 1982 during the Sixth Five-Year Plan, based on the recommendations of the B. Sivaraman Committee. Microfinance in India started through the Self-Help Group-Bank Linkage model which was an initiative by NABARD in 1992, to link the unorganised sector

to the formal banking sector. The Reserve Bank of India (RBI) is the regulatory body for Micro Finance Institutions (MFIs) operating in the country.

Q73. Which cost is considered for calculating the national income in India?

- A. Product cost
- B. Factor cost**
- C. Market cost
- D. Sunk cost

Solution: Factor cost refers to the cost of factors of production such as labor, capital, and entrepreneurship. Market cost: The cost of a product or service in the market, influenced by supply and demand. Sunk cost: A cost that has already been incurred and cannot be changed or avoided.

Q74. What is the use of Net National Product (NNP)?

- A. To calculate exports
- B. To calculate balance of payments
- C. To calculate per capita income**
- D. To calculate imports

Solution: To calculate per capita income. If we deduct depreciation from Gross National Product (GNP) the measure of aggregate income that we obtain is called Net National Product (NNP). Thus, $NNP = GNP - \text{Depreciation}$. Further, NNP at factor cost is obtained by subtracting net indirect taxes (i.e., indirect taxes minus subsidies) from NNP at market prices: $NNP \text{ at factor cost} = NNP \text{ at market prices} - \text{Net indirect taxes (Indirect taxes - Subsidies)}$.

Q75. In India, statutory liquidity ratio is fixed by _____.

- A. India Brand Equity Foundation
- B. State government
- C. Commercial banks
- D. Reserve Bank of India**

Solution: Reserve Bank of India (RBI). It is India's central bank and regulatory body responsible for regulation of the Indian banking system. Established - 1 April 1935. Headquarters - Mumbai. It was nationalised in 1949 and since then fully owned by the Ministry of Finance, Government of India. The Statutory Liquidity Ratio (SLR) is a regulation that requires commercial banks in India to maintain a minimum percentage of their deposits in liquid assets.